



“GDP GROWTH FOR FY24 WILL BE CLOSE TO 7 PER CENT”

Sanjeev Sanyal, Member of the Economic Advisory Council to the Prime Minister, says small process reforms are a very important part of improving India's competitiveness and ease of doing business

BY SURABHI

PHOTO BY HARDIK CHHABRA



SANJEEV SANYAL wears many hats. Economist, historian, best-selling author—he dabbles in many things. But it is the hat he wears as Member of the Economic Advisory Council to the Prime Minister that is most crucial in the current context. “We are macroeconomic conservatives,” he says. In an interview with *Business Today*, he talks about the current economic situation, dispels concerns that India's FY24 fiscal deficit target of 5.9 per cent may be breached and more. Edited excerpts:



The economy grew at 7.6 per cent in Q2FY24. Do you think GDP growth in FY24 will be higher than the 6.5 per cent estimated? What about FY25?

The growth numbers for Q1 and Q2 of FY24 have clearly been stronger than what was being anticipated by most forecasters. It is very likely that GDP growth for the full year [will] be close to around 7 per cent. What is important is that the growth push has come from the secondary sector rather than from the tertiary or the primary sector. The growth momentum is very strong and almost all the high-frequency indicators suggest that it is good. There are statistical reasons why the headline growth rate may come down but that is only because of the base effect. The biggest constraint to